Time: 3 Hours **Max. Marks: 80**

Q. 1. Attempt any THREE of the following sub-questions: **[15]**

(A) Answer the following questions in 'one sentence' each: **(5)**

(1) What do you mean by 'carriage inward'?
(2) What is 'due date of a bill?
(3) What is 'deficit'?
(4) What do you mean by 'sacrifice ratio'?
(5) Which statement is prepared under single entry system to ascertain profit?

(B) Write a word/term/phrase which can substitute each of the following statements: **(5)**

(1) The debit balance of trading account.
(2) The excess of total assets over total liabilities of a 'not for profit concern'.
(3) Expenses incurred on dissolution of a partnership firm.
(4) Transfer of title of a bill from a debtor to a creditor.
(5) The statement showing profitability of two different periods and its percentage change.

(C) Select the most appropriate alternative from those given below and rewrite the statements: **(5)**

(1) When shares are forfeited, share capital account is _____.
(A) debited (B) credited
(C) adjusted (D) none of the above

(2) A bill drawn and accepted on 23rd November, 2012 for two months will be payable on _____.
(A) 23rd January, 2012 (B) 23rd January, 2013
(C) 25th January, 2013 (D) 26th January, 2013

(3) If the opening capital is ₹ 80,000, closing capital is ₹ 1,80,000, withdrawals are ₹ 10,000 and additional capital brought in is ₹ 20,000, the profit will be ₹ _____.
(A) 90,000 (B) 1,10,000
(C) 70,000 (D) 1,50,000

(4) Assets and liabilities are transferred to Realisation Account at their _____ value.
(A) market (B) purchase
(C) sale (D) book

(5) Share of profit of a deceased partner till the date of his death is _____.
(A) debited to profit and loss adjustment account.
(B) credited to profit and loss adjustment account.
(C) debited to profit and loss suspense account.
(D) credited to profit and loss suspense account.

(D) State whether the following statements are TRUE or FALSE: **(5)**

(1) Honour of bill means payment in accordance with the apparent tenor of the bill.
(2) The issue of debenture more than the face value is termed as issue of debenture at par.
(3) Return inward is deducted from purchases.
(4) Ratio analysis is useful for inter-firm comparison.
(5) Renewal is a request by drawee to cancel the old bill and draw a new bill by extending the credit period.

(E) Prepare a specimen of Bill of Exchange from the following information: **(5)**

(1) Drawer – Ramesh Mishra,
L.B.S. Road, Ghatkopar,
Mumbai.

(2) Drawee – Nandkumar Sharma,
Laxmi Road, Pune

(3) Payee – Rupesh Kumar Pande,
Rajkamal Chowk, Amaravati.

(4) Period of bill – 90 days

(5) Amount of bill – ₹ 25,000

(6) Date of bill – 17th February, 2014

(7) Date of acceptance – 20th February, 2014

(8) Accepted for – ₹ 20,000 only.

Q. 2. Mr. Keshav keeps his books on Single Entry System and disclosed the following information of his business. **[8]**

Particulars	1st April, 12 (₹)	31st March, 13 (₹)
Investments	–	30,000
Bills Payable	–	18,000
Creditors	52,500	69,000
Furniture	15,000	45,000
Debtors	60,000	90,000
Stock in Trade	30,000	37,500
Cash at Bank	36,000	54,000

Additional information:

(1) Mr. Keshav transferred ₹ 3,000 per month during the first half year and ₹ 2,000 per month for the second half year from business account to his personal account.

(2) He also took goods worth ₹ 7,000 for private use.

(3) He sold his private asset for ₹ 27,000 and brought the proceeds into his business.

(4) Furniture to be Depreciated by 10%.

(5) Provide Reserve for Doubtful Debts at 5% on Debtors.

Prepare:

(i) Opening Statement of Affairs

(ii) Closing Statement of Affairs

(iii) Statement of Profit or Loss for the year ended 31st March, 2013.

OR

(A) What are the different 'cash inflows' and 'cash outflows' of operation activity? **(4)**

(B) State and explain any 'four objectives' of financial statement analysis from business point of view. **(4)**

Q. 3. Mrs. Snehal and Mrs. Meenal are equal partners in a business. Their balance sheet is as follows: **[10]**

Balance Sheet as on 31st March 2013

Liabilities		Amount ₹	Assets		Amount ₹
Capital A/c's:			Premises		20,500
Snehal	80,000		Investments		10,500
Meenal	45,000	1,25,000	Equipments		5,000
Creditors		46,000	Bills receivable		18,000
General Reserve		20,000	Debtors	1,10,000	
			Less: R.D.D.	11,000	99,000
			Bank Balance		38,000
		1,91,000			**1,91,000**

They agreed to admit Mrs. Komal on 1st April, 2013 on the following terms:

(1) Komal should bring ₹ 50,000 towards her capital for one fourth (1/4th) share in future profit.

(2) Goodwill to be raised in the books of the firm for ₹ 40,000.

(3) R.D.D. to be maintained at 5% on Debtors.

(4) Premises to be valued at ₹ 30,000 and Equipments to be written off fully.

(5) Creditors allowed a Discount of ₹ 1,000 and they were paid off immediately.

Prepare: Profit & Loss Adjustment Account, Partner's Capital Accounts and Balance Sheet of the new firm.

OR

Pravin, Prakash and Paresh were partners sharing profits and losses in the proportion to their capitals. Their balance sheet of the firm on 31st March, 2013 was as under:

Balance Sheet as on 31st March 2013

Liabilities		Amount ₹	Assets		Amount ₹
Capital A/c's:			Land and Building		80,000
Pravin	60,000		Investments		40,000
Prakash	40,000		Debtors	32,000	
Paresh	20,000	1,20,000	*Less: R.D.D.*	4,000	28,000
Creditors		56,000	Stock		36,000
Reserve fund		36,000	Cash		28,000
		2,12,000			**2,12,000**

Paresh died on 1st August, 2013 and the following adjustments were made :

(1) Assets were revalued as – Land and building ₹ 88,000, Investments ₹ 36,000 and Stock ₹ 34,000.

(2) All debtors were good.

(3) Goodwill of the firm valued at two times the Average Profit of the last 4 years profit.

(4) Paresh's share of profit upto his death to be calculated on the basis of Average profit of the last two years.

(5) Profit for the last four years were:
₹ 12,000, ₹ 24,000, ₹ 14,000 and ₹ 22,000
Prepare:
(i) Profit and Loss Adjustment Account.
(ii) Paresh's Capital Account, showing the amount payable to his executor.
(iii) Give working of Paresh's share in Goodwill and profit.

Q. 4. Journalise the following transactions in the books of Kedarnath: **[10]**

A. Badrinath informs Kedarnath that Aloknath's acceptance of ₹ 16,000 endorsed to Badrinath has been dishonoured and noting charges amounted to ₹ 500.

B. Somnath renews his acceptance of ₹ 14,400 to Kedarnath by paying cash ₹ 4,400 and accepting a new bill for 2 months for the balance plus interest @ 12% p.a.

C. Vishwanath retired his acceptance for ₹ 10,500 to Kedarnath by paying in cash ₹ 10,250.

D. Recovered only 50% of the amount due from the private estate of Ramnath, who declared as insolvent, against his bill of ₹ 12,500.

Q. 5. Devendra and Ganesh were partners sharing profits and losses in the ratio of 3 : 2. They dissolved the partnership firm on 31st March, 2013 when their position was as follows: **[10]**

Balance Sheet as on 31.03.2013

Liabilities		Amount ₹	Assets		Amount ₹
Sundry Creditors		12,500	Debtors	56,250	
Bank Overdraft		10,000	*Less: R.D.D.*	6,250	50,000
Reserve Fund		15,000	Stock		1,12,500
Capital Account's:			Furniture		25,000
Devendra	1,15,000		Motor Car		37,500
Ganesh	75,000	1,90,000	Cash in hand		2,500
		2,27,500			**2,27,500**

The assets realised as follows:

(1) Debtors ₹ 45,000, Stock ₹ 1,00,000 and Goodwill ₹ 12,500.

(2) Motor car was taken over by Devendra for ₹ 35,000 and Furniture by Ganesh for ₹ 30,000.

(3) The creditors were paid ₹ 11,250 in full settlement.

(4) The Realisation Expenses were ₹ 5,000.

Pass necessary journal entries in the books of the firm.

OR

Khandelwal Co. Ltd. made an issue of 40,000 Equity Shares of ₹ 20 each, payable as follows:

Application: ₹ 5 per share — Allotment: ₹ 10 per share

First Call: ₹ 3 per share — Second and Final Call: ₹ 2 per share

The company received applications for 45,000 shares of which applications for 5,000 shares were rejected and the money refunded. All the shareholders paid upto second call except Sachin, the allotee of 2,000 shares, failed to pay Final Call.

Pass Journal Entries for the above transactions in the books of Khandelwal Co. Ltd.

Q. 6. Following is the Receipts and Payments Account of Chamber of Commerce, Amaravati for the year ending 31st March, 2012 and some additional information. **[12]**

Receipts and Payments Account for the year ended 31.03.2012

Dr. **Cr.**

Receipts	Amount ₹	Payments	Amount ₹
To Balance b/d (Cash at Bank)	11,960	By Printing and Stationery	6,950
To Subscription	36,500	By Repairs	2,100
(Including ₹ 2,500 for 2010-11)		By Rent	8,500
To Sale of Furniture (Book value ₹ 18,000)	12,000	By Books	20,000
To Donation for Building Fund	27,000	By Travelling Expenses	2,000
To Admission Fees (Revenue)	5,050	By Investments	40,000
		By Insurance	1,700
		By Balance c/d (Cash at Bank)	11,260
	92,510		**92,510**

Additional information:

Particulars	1.04.2011	31.03.2012
Outstanding Subscription	3,000	5,000
Furniture	32,000	12,600
Building Fund	1,45,000	–
Capital Fund	1,51,960	–
Investments	2,50,000	–

Prepare Income and Expenditure A/c for the year ended 31st March 2012 and Balance Sheet as on that date.

Q. 7. Miss Meena and Miss Reena are in partnership sharing Profits and Losses in the ratio of 3 : 2. From the following trial balance and adjustments, you are required to prepare Trading Account, Profit and Loss Account for the year ended 31st March, 2013 and Balance Sheet as on that date. **[15]**

Trial Balance as on 31.03.2013

Dr. **Cr.**

Particulars		Amount ₹	Particulars		Amount ₹
Building		4,00,000	Capital Accounts		
Plant and Machinery		1,20,000	*Meena*	3,00,000	
Purchases		6,50,000	*Reena*	2,00,000	5,00,000
Carriage		7,000	Sales		8,14,000
Opening Stock		90,000	Sundry Creditors		1,80,000
Wages		35,000	Bank Overdraft		20,000
Sundry Debtors		1,50,000			
Salaries		28,000			
Postage and telegram		4,000			
Insurance		5,000			
Bad Debts		3,000			
Rent		4,000			
Discount		3,000			
Drawings					
Meena	10,000				
Reena	5,000	15,000			
		15,14,000			**15,14,000**

Adjustments:

(1) Stock on hand on 31st March, 2013 was valued at ₹ 1,10,000.
(2) Depreciate Plant and Machinery at 10% p.a.
(3) Create Reserve for Doubtful Debts at 5% on Sundry Debtors.
(4) Salaries include ₹ 2,500 as Advance to Workers.
(5) Partners are allowed Interest at 5% p.a. on their Capitals.